

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 21-05

MCS INDUSTRIES, INC.,

Complainant

v.

MCS MEDITERRANEAN SHIPPING COMPANY S.A.,

Respondent

**RESPONDENT MEDITERRANEAN SHIPPING COMPANY S.A.'S
EXCEPTIONS TO INITIAL DECISION ON REMAND
AND MEMORANDUM AND BRIEF IN SUPPORT**

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INTRODUCTION AND SUMMARY OF THE ARGUMENT

Pursuant to Rule 227 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.227, Respondent MSC Mediterranean Shipping Company S.A. ("MSC") hereby excepts to the Initial Decision on Remand ("Initial Remand Decision") issued by the Chief Administrative Law Judge on February 16, 2024, and files this brief in support of such exceptions. MSC requests oral argument on each of these exceptions pursuant to Rule 241, 46 C.F.R. § 502.241.

The Initial Decision erred in holding that 46 U.S.C. § 41302(d) provides an additional basis for a default against MSC. Congress did not intend for Section 41302(d) to apply to pauses in litigation caused by the need to comply with a foreign blocking statute that subjects a party to possible criminal sanctions by complying with a discovery order. Rather than being a basis for a finding of unwarranted delay, the Shipping Act expressly mandates the use of available procedures to comply with a foreign blocking statute, requiring that government-to-government consultations take place in such an event.

MSC engaged in good faith efforts to expedite this case to meet all scheduling deadlines ordered, providing full discovery on the core issues raised by the Complaint in place at the time that discovery was provided, and took specific and repeated actions to resolve as quickly as possible the discovery impediments occasioned by the Swiss blocking statutes. After the Geneva Court of First Instance ("TPI") issued a ruling that did not resolve MSC's risk of criminal liability, MSC and the Complainant *both* agreed that consultation procedures were required in accordance with 46 U.S.C. § 41108(c)(2) in response, and MSC accordingly requested the assistance of the Swiss Federal Department of Justice and Police ("FDJP") to allow compliance with the remaining discovery at issue. A decision issued at the highest level of the Swiss Government by the Swiss Minister of Justice confirmed that the Hague procedures could and must be used to resolve the

issue. Use of those procedures promptly at the time, as MSC urged, would almost certainly have resulted in resolution of the blocking statute issue long ago.

The Initial Decision also erred in awarding reparations of \$861,706.50. The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). The Commission’s regulations require that reparations be the “proximate result of violations of the statute in question.” 46 C.F.R. § 502.252. None of the Complainant’s evidence regarding reparations offers any proof that the reparations claimed are related to cargo that MSC was contractually obligated to carry and refused to carry, much less the “proximate result” of any failure to carry such cargo. Complainant’s only proffered evidence of its alleged reparations is a collection of invoices and a table of shipments it made under spot rates, presented by a declarant with no personal knowledge of the matter for key months of the claim, and unsupported by any evidence to show that the claimed reparations were the proximate result of any failure to carry by MSC. Complainant also offered no evidence that it attempted to book the shipments listed in the table with another carrier with which it had a service contract, or made any other attempt to mitigate the claimed reparations. Applicable precedent cited to by the Chief Administrative Law Judge, but not dealt with or even discussed in the Initial Remand Decision, holds that MSC was entitled at the very least to a hearing on these issues.

STATEMENT OF EXCEPTIONS

The following exceptions are supported by the relevant undisputed facts set forth in the next section, many of which were ignored or mischaracterized in the Initial Remand Decision, and by the legal arguments that follow. Citations are made in those sections to the documents of record by docket number, and to transcript pages and exhibit numbers when appropriate.

- I. The Initial Decision errs in holding that the delay sanction in 46 U.S.C. § 41302(d) is an additional basis for a default judgment and for awarding reparations against MSC, because MSC fully participated in the proceeding and made substantial and repeated efforts to move it forward, including repeated and continuing efforts to allow it to comply with discovery that it was unable to provide due to Swiss blocking statutes.**
- II. The Initial Decision errs in awarding Complainant \$861,706.50 for reparations that are unsupported by competent evidence and as to which MSC was at the least entitled to a hearing.**

FACTS RELEVANT TO THE EXCEPTIONS

A. The Transactions at Issue

1. Complainant and MSC entered into an Ocean Carriage Agreement, which is a “service contract” as defined by 46 U.S.C. § 40102(21), for the period of May 1, 2020 through April 30, 2021 (the “2020 OCA”). The contract was amended midterm to increase the minimum carriage commitments. *See* Doc. No 38, ¶ 22 & Exh. 1.
2. Complainant and MSC entered into an Ocean Carriage Agreement, effective May 1, 2021, (the “2021 OCA”) that is also a “service contract” as defined by 46 U.S.C. § 40102(21). *See* Doc. No. 1, ¶ 40 & Exh. 2.
3. Both the 2020 and 2021 OCA contain an express agreement between the parties that “[a]ny disputes arising out of or in connection with” the service contract are to be resolved by binding arbitration. *See* Doc. No. 31 at 12-13.
4. Complainant’s Initial Complaint in this action alleged that MSC failed to carry cargo it was contractually obligated to carry under the 2021 contract between May and July, 2021. *See* Doc. No. 1 ¶¶ 17, 42. The Amended Complaint, filed after the Discovery Order that led to the Default Order, expanded the claims to the 2020 OCA. *See* Doc. No. 38, ¶¶ 23-31.

5. The Discovery Order that led to the Default Order was expressly limited to transactions in the time period between May and August, 2021 between California and two ports in China. *See* Doc. No. 27 at 4-5 (“[w]hile parties cannot go on fishing expeditions and seek irrelevant discovery, they are not required to provide evidence or legal authority for every discovery request, especially when that request is narrowly tailored to conduct between the parties, between California and two ports in China, over a four-month timeframe.”).
6. Complainant has never made any allegations in this proceeding as to any failure to carry for the period after August, 2021 or sought or provided any discovery for that period. Doc. No. 75 at 22.
7. MSC sought discovery regarding allegations in the amended complaint pertaining to the 2020 OCA and has not received any discovery from Complainant to support these claims. Doc. No. 41 at 4-5.
8. Complainant agreed that of the three ports alleged to be at issue in the Complaint and Amended Complaint, Fuzhou, Tianjin, and Qingdao, MSC carried all contracted-for cargo to Fuzhou, and limited its claims to noncarriage between Qingdao and Tianjin from May 2021 to August 2021. *See* Doc. No. 26, Attachment “Cited Pages from Master Deposition” at 46:12-20 (MCS got “all it wanted” at Fuzhou); *id.* at 47:4-23 (conceding the full allocation of “three or four [FEUs] a month” was carried at Fuzhou.).
9. Discovery exchanged among the parties has identified only four bookings at Qingdao—one a renewal of a prior booking—from May to July 2021 that Complainant allegedly made and which MSC did not carry. Of those bookings, one was incorrectly made

under the wrong contract, one was not received by MSC, one was made too late, and one was made for a sailing that was cancelled and rebooked on another vessel. *See* Doc. No. 22, Exh. 8 at 1-3.

10. At the Qingdao port, 80 percent of Complainant's service contract volume during the period at issue, from May to July 2021, was with carriers other than MSC. *See* Doc. No. 74, Exh. 3 (correspondence from Complainant to its booking agent, Expeditors, listing Complainant's contracted carriers and allocations with each). Complainant refused to provide discovery as to whether these carriers did or could have carried the cargo Complainant alleges MSC refused to carry, and did not provide any evidence on the point in the remand proceeding before the Chief Administrative Law Judge.
11. Complainant has never claimed there were any issues with carriage of its cargo by MSC after July 2021. *See* Exh. 3, Master Tr. at 141:7-8 (Complainant's CEO concedes that it has been "getting acceptable service" at Qingdao "since [MCS] filed the lawsuit," at the end of July).

B. Complainant's Alleged Reparations

1. Complainant alleged reparations related to the 2020 service contract in the amount of \$400,509 for 299 TEUs. *See* Doc. No. 71 at 5.
2. Complainant alleged reparations for the first three months of the 2021 service contract in the amount of \$463,936 for 123.5 TEUs. *Id.* at 6.
3. For the first time in this proceeding—on remand—Complainant alleged \$288,232 in reparations for December 2021 to April 2022, a time period that Complainant had not included in any allegations, and an amount that Complainant did not include in any of its reparations calculations in discovery, any brief filed during this proceeding, or its

own prior reparations submissions that the Chief Administrative Justice relied on in the Initial Decision. *Id.*; *see* Doc. No. 63 at 15 (“When MSC Mediterranean Shipping made the decision not to provide the discovery required, it was not on notice of the amount of the claim for damages *after* the first three months of the 2021 service contract period. Therefore, even though the amended complaint indicated that the violation was ongoing, because the amount of damages from December 2021 to April 2022 was not provided prior to the Initial Decision, that amount is now not recoverable.”).

C. Complainant’s Evidence Regarding Reparations

1. Complainant references a table of shipments made under spot rates to calculate reparations. *See* Doc. No. 71 at 5, Exh. 4.
2. Complainant does not provide evidence through emails, phone calls, or other communications evidencing attempts to book such shipments under contracted-for rates with MSC or with any other contracted-with carrier. *Id.* at 4-5.
3. Complainant also references a series of invoices for shipments made at spot rates to calculate reparations. *Id.*
4. Complainant provides no evidence that ties the invoices to instances where MSC refused to carry contracted-for cargo. *Id.*, Exh. 5.
5. Complainant’s evidence relies on the testimony of its logistics analyst, Ms. Brittany Montesano, who discovery confirmed had no involvement with the facts of this case during the entire relevant time period under the 2021 contract. *See* Doc. No. 71 at 4; Doc. No. 74, Exh. 1 at 21:17-23, 37:20-25, 38:1-8.
6. Ms. Montesano was the only logistics analyst at MCS Industries. *See* Doc. No. 74, Exh. 1 at 18:17-23; Doc. No. 75 at 2, 18.

7. Complainant states that at times it was forced to “forgo shipments entirely” Doc. No. 32 at 7, ¶ 30. It does not reference those times or tie them to its reparations theory.

D. The Discovery Issue on Which the Delay Sanction Issue Is Based

1. Because Complainant’s Shipping Act claims are premised on MSC’s alleged failure to provide cargo carriage to Complainant at contract rates, MSC proposed proportionate discovery on the Initial Complaint with a focus on the allegation that MSC refused to carry Complainant’s cargo from May to July 2021, from Tianjin and Qingdao. *See* Doc. No. 23 at 5-6; *see also supra*, ¶ A8.
2. Upon a reasonable search, MSC provided all responsive, non-privileged documents regarding carriage of Complainant’s cargo from the ports at issue during this time period. *Id.* at 4.
3. MSC objected to further discovery regarding highly sensitive corporate and financial information, which was, at most, minimally related to peripheral issues of the case. *Id.* at 71-74.
4. On November 22, 2021, Complainant filed a Motion to Compel Discovery from MSC. *See* Doc. No. 21.
5. On December 8, 2021, the Chief Administrative Law Judge issued an Order granting Complainant’s Motion to Compel Discovery in full, and ordering MSC to produce discovery requested by Complainant. *See* Doc. No. 27.

E. The Order to Compel Triggered the Swiss Blocking Statute and the Use of the Hague Procedures

1. In a Status Report on December 20, 2021, MSC advised the Chief Administrative Law Judge that the December 8, 2021 Order triggered Article 271 of the Swiss Criminal Code because it compelled discovery through the order of a governmental body. Thus,

- MSC could not comply with the Motion to Compel without risking a criminal penalty under Swiss law. *See* Doc. No. 28.
2. On February 25, 2022, MSC included a legal opinion from Swiss counsel in its Notice and Update on Joint Status Report that explained that compliance with Swiss Article 271 required a request from the Commission to the relevant Swiss authority to use Hague Evidence Convention procedures to avoid exposing MSC to criminal jeopardy. *See* Doc. No. 40 at 5-9.
 3. On May 4, 2022, the Chief Administrative Law Judge issued an Order Granting Request for Letter of Request Under Hague Conventions. *See* Doc. No. 44.
 4. MSC, following the advice of Swiss counsel, advised that the Letter of Request be directed to the Swiss authority with expertise in such matters, the Swiss Federal Office of Justice (“FOJ”). *See* Doc. No 43 at 13.
 5. Nearly four weeks later, on May 31, 2022, Complainant served the Letter of Request directly on the Geneva Court of First Instance (“TPI”), and not with the FOJ as MSC had advised, without copying MSC and without appropriate explanation of the nature of Commission proceedings and of applicable U.S. law equating Commission proceedings with civil judicial decisions. *See* Doc. No. 45.
 6. On June 1, 2022, Complainant served the Letter of Request on the FOJ. *Id.* Due to Switzerland’s federal structure, the FOJ was thus prevented from intervening and opining on the issue because, contrary to MSC’s advice, the Letter of Request was first served by Complainant to the TPI, despite the advice of MSC’s Swiss counsel that it should be directed to the FOJ. Doc. No 43 at 13.

7. Complainant has never provided any basis for its four-week delay in preparing and serving the request, or for its decision to cut the FOJ out of the process.
8. On June 29, 2022, the TPI issued a Decision denying the Letter of Request Pursuant to the Hague Convention on the basis that the request was sought in connection with “an administrative proceeding” and not a civil dispute between private parties, based on the TPI’s misunderstanding due to the incomplete information Complainant provided it. The decision did not order MSC to comply with the discovery; nor did it rule that MSC could comply without facing criminal exposure under the Swiss blocking statute. *See* Doc No. 48 at 3.
9. In their July 15, 2022 Joint Status Report, MSC and Complainant agreed that further communications with the Swiss government were needed. Complainant reiterated its request that the 46 U.S.C. § 41108(c)(2) consultation procedure be used. *See* Doc. No. 48 at 7. MSC suggested that the FOJ be brought in to provide the correct advice so that MSC could proceed without criminal exposure and noted that its Swiss counsel was undertaking that process. *Id.*
10. On July 29, 2022, the Chief Administrative Law Judge, contrary to the requests of both parties, issued an Order Requiring Production of Discovery without waiting for further consultations to resolve the issue of the Swiss blocking statutes. *See* Doc. No. 50.
11. In an August 15, 2022 Joint Status Report, MSC noted that the TPI Order did not resolve its legal jeopardy under Swiss Law. *See* Doc. No 51 at 3.
12. On August 25, 2022, MSC filed a Motion for Extension of Time in order to obtain a response to its request for advice from the FOJ that Hague Procedures could in fact be made available in order to avoid criminal jeopardy that MSC would face from

compliance with the July 29 Order. *See* Doc. No. 51 at 2. MSC had emphasized the urgency of the matter to Swiss authorities by contacting the International Mutual Legal Assistance Division of the FOJ. *Id.* This is the only request for an extension of time that MSC has filed in this proceeding.

13. On September 6, 2022, the day it received it, MSC filed a Notice of Advice of the Swiss Federal Office of Justice, which outlined a path towards efficient resolution by directly confirming the soundness of MSC's proposal that the request for judicial assistance be resubmitted to the FOJ to obtain a correct assessment that Hague Procedures are available. *See* Doc. No. 54.
14. On September 8, 2022, the Chief Administrative Law Judge issued an Order Denying MSC's Motion for Extension of Time on the basis that the decision from the FOJ was indefinite, and issued an Order to Show Cause as to why default should not be issued against MSC for failure to produce discovery. *See* Doc. No. 55.
15. In an effort to quickly resolve the criminal jeopardy risk impeding MSC's compliance with additional discovery, and in response to the Chief Administrative Law Judge's statement that the previous advice was too indefinite, MSC requested that the Swiss Federal Department of Justice and Police ("FDJP") waive Article 271 so that it could comply. MSC described its efforts to obtain a waiver in its timely September 22, 2022 response to the Order to Show Cause. *See* Doc. No. 56 at 4-7.
16. On October 18, 2022, MSC notified the Chief Administrative Law Judge that the FOJ had rejected the request for a waiver on the basis that "authorization under Article 271 of the Criminal Code cannot be granted in view of the fact that mutual legal assistance

is open.” The FDJP also advised it was preparing a more detailed decision on the matter. *See* Doc. No. 59 at 1.

17. On November 7, 2022, the FDJP issued a decision, signed by the Swiss Minister of Justice, outlining the proper procedure moving forward. MSC immediately notified the Chief Administrative Law Judge of the decision and provided a copy with a translation on November 8, 2022. *See* Doc. Nos. 61-63.

18. MSC’s Notice of Issuance explained that the FDJP’s decision presented an efficient path to resolution. The FDJP clearly and authoritatively stated that “[c]ontrary to the decision of 29th June 2022 of the Geneva Court of First Instance, the case is in fact a civil and commercial matter” and “a request for mutual legal assistance may be re-filed in an improved form” to allow MSC to comply. *See* Doc. No. 61 at 2.

F. The Initial Decision on Default

1. On January 13, 2023, the Chief Administrative Law Judge issued an Initial Decision against MSC for failure to produce the remaining discovery. *See* Doc. No. 64.
2. The Initial Decision on Default did not give any weight to the FDJP’s decision issued two months previously, signed by the Swiss Minister of Justice acting at the highest possible level in the Swiss government, that the Hague Procedures were available in this proceeding and were required to be followed to assure compliance with Article 271 of the Swiss Criminal Code. *Id.* at 17.
3. The Initial Decision on Default considered the matter to have been resolved by the TPI decision, even though the TPI decision was based on a misapprehension of the nature of civil proceedings before the FMC that was directly contrary to controlling U.S. law, *see Federal Maritime Commission v. South Carolina State Ports Authority*, 535 U.S.

743, 759 (2002), even though the TPI decision was squarely rejected by the FDJP, the Swiss authority with expertise on the issue, and even though the TPI decision had not ordered MSC to comply with discovery or determined that MSC was not at risk of criminal exposure from compliance. *Id.*

4. The Initial decision suggested, for the first time, that the decision from the FDJP was due to *ex parte* contacts, even though MSC consistently disclosed to all parties and the Commission its efforts to receive advice from the proper Swiss authorities, and even though Complainant, after unexplained delay, had filed its request with the TPI *ex parte*. *Id.* The Initial Decision gave no other reason for ignoring the FDJP decision.

G. The Commission’s Order Partially Affirming Initial Decision on Default

1. On February 6, 2023, MSC filed timely exceptions to the Initial Decision, seeking no extension of time. *See* Doc. No. 65. On February 28, 2023, MCS Industries filed a response to the exceptions. *See* Doc. No. 66.
2. On August 17, 2023, the Commission issued a second Notice of Extension of Time delaying its Final Decision from August 17, 2023, to February 16, 2024. *See* Doc No. 67.
3. On January 3, 2024, the Commission issued an Order Partially Affirming Initial Decision on Default and Remanding for Further Proceedings. *See* Doc No. 68. The Commission remanded to determine whether 46 U.S.C. § 41302(d) “provides an additional basis to support the imposition of default.” *Id.* at 27. On the issue of reparations, the Commission remanded to determine the amount of reparations under 46 C.F.R. § 502.65(c) based on “affidavits or documentary evidence that provides adequate detail as to the damages MCS actually suffered for the violations alleged in

its operative complaint.” *Id.* at 30 (citing 46 C.F.R. §§ 502.251 (Proof on award of reparation); 46 C.F.R. § 502.252 (Reparation Statements)).

LEGAL ARGUMENTS SUPPORTING EXCEPTIONS

I. THE INITIAL REMAND DECISION ERRED IN FINDING THAT 46 U.S.C. § 41302(d) PROVIDES AN ALTERNATIVE BASIS FOR DEFAULT

MSC’s response brief on remand explained that the legislative history of section 41302(d) confirms that Congress did not intend that it apply to pauses in litigation caused by the need to comply with foreign blocking statutes. The provision was adopted to assure prompt completion of Commission investigatory proceedings, not as a penalty in civil complaint actions. This is evidenced by the fact that Section 11(d) of the 1984 Shipping Act, later codified as section 41302, was entitled “Conduct of Investigations.” The Initial Remand Decision does not address this legislative history.

The Initial Remand Decision acknowledges that extensions of time are not unusual in civil complaint proceedings before the Commission. *See* Doc. No. 75 at 8. This finding is consistent with the legislative history which describes the final decision deadlines as “a target,” *see* H.R. REP. 98-53, pt. 2 (1983), *as reprinted in* 1984 U.S.C.C.A.N. 221, 255. The relevant legislative history confirms that the final decision deadlines were intended to operate, and frequently do operate, as guidelines to ensure that cases progress efficiently, not as a tripwire for the “extreme sanction” of default in a civil proceeding. Doc. No. 75 at 7 (citing Doc. No. 68 at 27). Again, the Initial Remand Decision ignores this legislative history.

The Initial Remand Decision acknowledges that “[t]he parties did not identify, and the undersigned has not located, any decisions invoking this delay sanction.” Doc. No. 75 at 7. Stated otherwise, section 41302(d) has never been interpreted to apply to a reparations proceeding and has never been cited as an alternative basis of default. For this reason, no party raised the issue in

the case below, nor did the Administrative Law Judge consider the issue until prompted by the Commission Order. Despite recognizing the novelty and extreme nature of the potential penalty, the Initial Remand Decision provides only the most cursory analysis in support of its retrospective finding that a default sanction is appropriate under section 41302(d) in this case.

The Initial Remand Decision holds that “[t]o violate this section, the delay must be “undue.”” Doc. No. 75 at 8. The Initial Remand Decision concedes that MSC “had the right to vigorously defend itself,” *id.*, but does not explain why this right did not extend to its right to request intergovernmental consultations as required under 46 U.S.C. § 41108(c)(2) to reconcile the conflicting obligations it faced under Swiss law (and the concomitant criminal exposure) and the motion to compel, or to assuring that the Hague Convention procedures were available as an alternative. The Initial Remand Decision further acknowledges that because the Administrative Law Judge “agreed to issue a letter of request under the Hague convention,” “[i]t was not until Mediterranean failed to comply with the July 29, 2022, order requiring production of documents, after the decision from the Judge in Switzerland was received, that Mediterranean’s delay providing discovery became undue.” *Id.*

The conclusion that the delay was “undue” after the July 29, 2022 order, which no party had requested, proceeds from the erroneous finding that the “international discovery dispute was heard and resolved by both the undersigned, compelling the discovery, and the court in Switzerland, rejecting the request as outside the scope of the Hague Convention.” Doc. No. 75 at 9. This meant that any further efforts by MSC to obtain authorization from the Swiss government to allow it to comply with the discovery order in this case without creating potential criminal exposure were in the mind of the Chief Administrative Law Judge “undue.” The TPI decision did not address the applicability of the Swiss blocking statute, or whether MSC could comply with the

discovery order without risking criminal sanction under Swiss law. Rather, the TPI held, based on an inadequately supported request, that the Hague Convention did not apply to Commission proceedings because they were not analogous to “civil” proceedings in U.S. courts.

The Initial Remand Decision’s reliance on the TPI’s ruling is perplexing where, as here, the TPI’s holding is directly contrary to U.S. Supreme Court precedent squarely on point holding that Commission reparations proceedings are closely analogous to civil proceedings in federal court. *See Federal Maritime Commission v. South Carolina State Ports Authority*, 535 U.S. 743, 759 (2002) (“the similarities between FMC proceedings and civil litigation are overwhelming.”). The Initial Remand Decision never addresses that issue.

The finding that the “international discovery dispute was heard and resolved” by the TPI also ignores the uncontradicted record evidence that the Swiss government at the highest levels disagreed with the TPI’s ruling. The Initial Remand Decision acknowledges but entirely fails to address this evidence by stating, “rather than comply” with the “ruling” of the TPI, “Mediterranean appears to have gone around the court to the Swiss executive branch, looking for a different answer.” Doc. No. 75 at 9 (citing Doc. No. 68 at 21). But the Geneva court did not provide any answer on the applicability of the blocking statute under which MSC could have produced discovery without the risk of criminal jeopardy, much less an order that MSC could have complied with. The suggestion that MSC sought to evade the TPI ruling or engaged in an improper *ex parte* contact is unsupported and incorrect. To the contrary, because the TPI ruling did not order MSC to do anything, it was unappealable, and MSC’s only recourse to avoid its legal jeopardy was to the FOJ.

MSC provided advance notice to the Administrative Law Judge and opposing counsel that it planned to seek advice from the FOJ to confirm that the TPI’s interpretation of the applicability

of the Hague Convention was incorrect. MSC further apprised the Administrative Law Judge and opposing counsel that it had also sought a waiver of Article 271 and 273 from the Swiss Federal FDJP to allow it to comply with the order to compel notwithstanding the TPI's incorrect ruling, which did not resolve MSC's legal jeopardy. MSC subsequently apprised the Administrative Law Judge and opposing counsel that the FOJ advised that the letter request could be resubmitted in order to obtain a correct assessment (and thus that a waiver was thus unavailable), the inescapable implication being that the TPI had erred in holding the Geneva Convention did not apply. *See* Doc. No. 54. The FDJP denied the waiver on the grounds that "authorization under Article 271 of the Criminal Code cannot be granted in view of the fact that mutual legal assistance route is open," and must be obtained "in accordance with the rules of the 1970 Hague Convention." *See* Doc. No. 59. Again, the unmistakable conclusion was that the TPI had erred, as the Hague path was in fact open to resolve MSC's legal jeopardy. There is thus no basis for the Chief Administrative Law Judge's conclusion that the issue was "resolved" by the TPI.

To the extent any ambiguity remained, and in response to the Chief Administrative Law Judge's observation that prior advice from the Swiss government had been indefinite, MSC provided the November 7, 2022, formal decision from the FDJP, signed by the Swiss Minister of Justice, which stated unequivocally that "mutual legal assistance under the Hague Convention on the Taking of Evidence Abroad in civil and commercial matter of 18th March 1970 (RS 0.274.132) is open," because "[c]ontrary to the decision of 29th June 2022 of the Geneva Court of First Instance, the case is in fact a civil and commercial matter." *See* Doc. No. 63 at ¶7. The formal decision of the FDJP further stated that the "rejection of the request for mutual legal assistance by the Court of First Instance has no material effect (res judicata);" therefore, a "request for mutual

legal assistance may be re-filed in an improved form,” i.e. outlining the nature of this proceeding as confirmed by the FDJP’s opinion so as to properly invoke the Hague procedures. *Id.* at ¶8.

The Initial Remand Decision fails to explain why, in view all of this uncontradicted evidence of record, the efforts by MSC to reconcile the conflicting obligations under Swiss law and the discovery orders in this case were somehow illegitimate and thus the source of “undue” delay.

The Initial Remand Decision likewise fails to meaningfully address the argument that applying section 41302(d) as an alternative basis of default to this case creates needless tension with 46 U.S.C. § 41108(c)(2) which requires mandatory government-to-government consultations to resolve discovery issues implicating a foreign blocking statute. *See* Doc. No. 75 at 9 (“This delay sanction is not in tension with section 41108(c)(2)’s approach to international discovery disputes . . . because legitimate discovery disputes are not “undue.”). This ruling is entirely circular, and in fact supports MSC’s position, since the uncontradicted evidence of record shows that MSC’s efforts to seek legal assurances to resolve its legal jeopardy were legitimate. If the initial ruling of the TPI was incorrect, as the uncontradicted record evidence confirms that it was, then MSC’s continued legitimate efforts to seek a resolution to allow it to comply with both Swiss law and the discovery order could not be a violation of section 41302(d) as they caused no “undue” delay.

The Initial Remand Decision’s conclusion that MSC’s attempts to reconcile the conflicting obligations of a foreign blocking statute is somehow “illegitimate” and, thus, constitutes “undue” delay under section 41302(d) is also directly contrary to federal case law rejecting sanctions in such circumstances. *See Cine Forty-Second St. Theatre Corp. v. Allied Artists Pictures Corp.*, 602 F.2d 1062, 1066-68 (2d Cir. 1979) (sanctions not warranted where a party “makes good faith

efforts to comply, and is thwarted by circumstances beyond his control for example, a foreign criminal statute prohibiting disclosure of the documents at issue . . . an order dismissing the complaint would deprive the party of a property interest without due process of law.”); *Societe Internationale Pour Participations Industrielles Et Commerciales v. Rogers*, 357 U.S. 197, 212 (1958) (“[i]t is hardly debatable that fear of criminal prosecution constitutes a weighty excuse for nonproduction, and this excuse is not weakened because the laws preventing compliance are those of a foreign sovereign.”). MSC cited these cases in its brief on remand; the Initial Remand Decision fails to distinguish or address them in any way.

Even assuming the Initial Remand Decision’s legal conclusions were sound, and they are not, its summary conclusion that any “undue delay” was caused by MSC alone is also incorrect. This conclusion ignores the fact that after the TPI’s ruling, Complainant also agreed that further intergovernmental consultations were required, making clear that not even the Complainant believed the TPI ruling “resolved” the issues. To the contrary, Complainant argued that the mandatory provisions of section 41108(c)(2) should be invoked. *See* Doc. No. 48 at 7 (“Complainant has previously submitted, and reiterates here, that Your Honor should request invocation of the consultation process contemplated by 46 U.S.C. § 41108(c)(2).”).

The assertion in the Initial Remand Decision that the case was “effectively at an impasse” is also incorrect. Both parties urged the Administrative Law Judge to pursue further intergovernmental consultations to resolve the matter, and MSC’s continuing efforts confirmed that the Hague Procedures were available to do so. MSC urged the resubmission of a properly prepared letter request, and Complainant urged formal invocation of the procedures under section 41108(c)(2)—both were available paths forward and there was no “impasse.” Prior experience in this case demonstrated that a renewed letter request would have been considered in 30 to 60 days

and the case would then have proceeded on the merits. A 30-to-60-day pause is far from an indefinite impasse, and is a fraction of the time that was subsequently spent litigating the Order to Show Cause that no party requested.

Finally, the statement that “undue delays” caused by MSC “prevented the Commission from meeting its August 17, 2023, final decision deadline[,]” is unfounded. Doc. No. 75 at 9. Even accepting the erroneous conclusion that MSC’s continued efforts to address the issues created by the Swiss blocking statute caused an “undue” delay starting on July 29, 2022, the Initial Decision was issued on January 13, 2023 and the exceptions and response briefs were filed the following month. Accordingly, even if the Chief Administrative Law Judge’s rulings were correct, and they are not, the majority of the 17 month period between July 29, 2022, when the Chief Administrative Law considered the “undue” delay to have begun, and the January 3, 2024 date of the Commission Order, was taken by the Chief Administrative Law Judge and the Commission’s deliberations over which MSC had no control. Retroactively imposing the extreme sanction of default under a novel theory of “undue delay” on these facts is unfair and unwarranted. Accordingly, the Commission should find that the Initial Remand Decision erred finding that section 41302(d) provides an alternative basis of default.

II. THE INITIAL REMAND DECISION ERRED IN FINDING THAT COMPLAINANT SUPPORTED ITS CLAIM OF REPARATIONS WITH COMPETENT EVIDENCE AND IN DENYING THE REQUEST FOR A HEARING ON THE EVIDENCE

The Initial Remand Decision erred in awarding reparations of \$861,706.50. The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). The plain language of the statute establishes the requirement that a complainant must establish causation by tying the reparations claimed to the violation of the Act. The Commission’s regulations are equally clear in

requiring proof that reparations be the “proximate result of violations of the statute in question.” 46 C.F.R. § 502.252. The Initial Remand Decision acknowledges that a Complainant has the burden of proving its entitlement to reparations. *See* Doc. No. 75 at 11 (citing *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, 30 S.R.R 8, 13 (FMC 2003) (quoting *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (1950))).

The Initial Remand Decision erred in awarding reparations because Complainant failed to meet this burden. Complainant offered no competent evidence that the reparations claimed relate to cargo MSC was contractually obligated to carry and refused to carry, much less the “proximate result” of any failure to carry such cargo. Rather, Complainant produced a collection of invoices and a table of shipments it made under spot rates, presented by a declarant with no personal knowledge of the matter for key months of the claim, and unsupported by any evidence to show that the claimed reparations were the proximate result of a failure to carry by MSC.

The Initial Remand Decision confuses the issue of proof of liability, which MSC acknowledges is established by reason of the Commission’s affirmance of the default finding, with the issue of proof of “actual injury caused by a violation” of the Act. Doc. No. 75 at 10. The Initial Remand Decision’s statement that there is no authority to support MSC’s position that “MCS Industries would need to tie each spot shipment to a request for MCS Industries to carry that specific shipment[.]” Doc. No. 75 at 20, is contradicted by the plain language of section 41305(b) and Commission Rule 251 and 252 that require exactly this kind of causal showing to the liability found by default. The statement is also contradicted by Commission precedent cited in the Initial Remand Decision. Doc. No. 75 at 11 (quoting *James J. Flanagan Shipping Corp.*, 30 S.R.R at 13 (“(a) damages must be the proximate result of violations of the statute in question;

(b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.”).

Assuming as required for purposes of the remand that MSC violated the Act, to prove that MSC’s violation caused the actual harm for which Complainant is seeking reparations, Complainant must show that it timely and properly attempted to book the cargo that it claims MSC refused to carry, thus necessitating it to incur damages in the form of the rate differential between the agreed upon contract rates and the spot rates. Again, as stated in *Flanagan* “the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” 30 S.R.R at 13.

The Initial Remand Discussion misstates MSC’s argument as that Complainant’s “actual injury” is limited to “shipments that occurred in spite of the Shipping Act violation.” Doc. No. 75. Instead, consistent with the plain language of the Shipping Act, the Commission’s regulations, and Commission precedent, MSC is arguing that Complainant must produce competent evidence that its claimed reparations are the proximate result of violations of the statute in question, and that the deemed violation in and of itself without proof of loss resulting from the violation cannot serve as the basis for reparations. The discussion in the Initial Remand Decision assumes that any shortfall in the amount of cargo shipped under the contract is due to a violation of the Shipping Act. *See* Doc. No. 75 at 19. This misapprehends the nature of the service contracts which impose reciprocal obligations on both parties. If Complainant timely and properly books cargo under the agreement, then MSC has an obligation to carry it. The issue in this case is that there is no competent evidence that Complainant timely and properly booked or attempted to book the cargo that constitutes the shortfall between the contracted space and the actual liftings.

The Initial Remand Decision thus errs in uncritically accepting 700 pages of invoices untied to any shipments MSC did not carry as required under the contract as evidence that MSC's deemed violation of the Shipping Act caused Complainant injury. In fact, despite full discovery productions from both parties on this core issue, Complainant cannot and does not cite to any specific evidence in the record substantiating that Complainant was forced to pay higher spot market rates for cargo that MSC refused to carry. The Initial Remand Decision does not even attempt to identify such evidence, and instead incorrectly assumes that such a causal link has been established. This is clear error.

For the same reasons, the extended discussion in the Initial Remand Decision regarding the adequacy of using the shipping rate differential to calculate reparations misses the point. No party is contesting that if Complainant could prove that the invoices it produced relate to cargo that it timely and properly booked under the service contracts that MSC refused to carry, and could prove that it was unable to mitigate its damages by shipping the cargo on its two other contracts—for four times the cargo MSC was obligated to carry—then the difference between the contract rates and the spot rates paid might be a reasonable basis for calculating reparations owed. But Complainant has not produced any competent evidence establishing any of these facts, and has failed to meet its burden of proof by not demonstrating a causal connection between the invoices and the deemed violation of the Act. The Initial Remand Decision errs by assuming without evidence that MSC's deemed violations of the Shipping Act are the proximate cause of the harm when there is no competent evidence establishing that connection.

The Initial Remand Decision also glosses over obvious deficiencies in the Complainant's reparations claim. For example, the Initial Remand Decision concludes that there is no basis to limit claimed reparations for the period between May and July 2021 because the amended

complaint is “not so limited” and because it “clearly alleged violations in July 2021.” Doc. No. 75 at 21. MSC is not arguing that the Complainant did not allege such violations, but rather that such allegations are entirely unsupported by Complainant’s own discovery production or any other competent evidence. Discovery exchanged between the parties confirmed that there were no communications for weeks at a time during this period between Complainant and MSC, and that MSC did not receive any booking requests for the Port of Qingdao, for example, from May 2021 to July 8, 2021 or any indication of issues with Complainant attempting to make bookings during that period. *See* Doc. No. 23, Exh. B. There is no rational basis for awarding Complainant reparations as to cargo for which there is no evidence MSC was ever asked to carry.

The statement in the Initial Remand Decision that “at this stage, MCS Industries is not required to provide evidence of booking requests nor to provide evidence supporting the Shipping Act violations,” is incorrect as a matter of law. Doc. No. 75. The booking requests, like evidence as to mitigation, go directly to damages. Complainant must show that damages are the proximate cause of a Shipping Act violation, yet Complainant has, for example, provided no evidence that the reparations it seeks are the proximate cause of any Shipping Act violation.

Applicable precedent cited to the Administrative Law Judge, but not dealt with or even discussed in the Initial Remand Decision, holds that MSC was entitled at the very least to a hearing on these issues. *See Firestone v. Harris*, 414 A.2d 526, 528 (D.C. 1980) (holding “an entry of default in a claim for unliquidated damage admits only the nondefaulting party’s right to recovery, not the amount of damages,” and that the defaulting party is entitled to admit evidence to mitigate such damages); *Digital Broad. Corp. v. Rosenman & Colin, LLP*, 847 A.2d 384, 387 n. 4 (D.C. 2004) (defaulted party is entitled to present evidence as to mitigation of damages and to cross-examine witnesses). *See also Rubicon Glob. Ventures, Inc. v. Chongqing Zongshen Grp. Imp./Exp.*

Corp., 226 F. Supp. 3d 1141, 1147 (D. Or. 2016) (a party in default “may cross-examine the opposing witnesses and introduce evidence on [its] own behalf in mitigation of damages”); *Henry v. Sneiders*, 490 F.2d 315, 318 (9th Cir. 1974) (upon entering default judgment on the issue of liability, district court held hearing regarding damages amount); *Oire Or. C, LLC v. Yaldo*, 2008 WL 5071709, at *1 (D. Or. Nov. 25, 2008) (defendant in default had the right to be heard regarding damages).

MSC’s response brief on remand highlights the deficiencies of Complainant’s proof of reparations. Yet the Initial Remand Decision, meeting a February 16, 2024 decision deadline that the Chief Administrative Law Judge set before seeing the briefing, demonstrated no interest in engaging on the issue. It accepted at face value a collection of invoices presented by a declarant with no personal knowledge for the key time period in question and unsupported by any evidence to show that the claimed reparations were the proximate result of a failure to carry by MSC. MSC’s objections with respect to the declarant were brushed aside on the basis that Ms. Montesano verified Complainant’s amended complaint and signed the service contracts. No one is arguing Ms. Montesano is a complete stranger to the litigation. MSC’s point is that the record evidence confirms that she was on leave during the key period in 2021 for which Complainant is seeking reparations, and indeed the only period that was at issue when the discovery order that led to the default was issued. In the absence of competent evidence showing the claimed reparations were the proximate result of a failure to carry by MSC (there is no such evidence), Ms. Montesano’s declaration has no probative value, and at a minimum should be subject to examination at a hearing.

On the hearing question, the Initial Remand Decision relies on *Transatlantic Mar. Claims Agency, Inc. v. Ace Shipping Corp., Div. of Ace Young Inc.*, 109 F.3d 105 (2d Cir. 1997) for the

proposition that hearings are within the discretion of the Chief Administrative Law Judge to deny. But *Transatlantic Marine* reversed the trial court in that case, stating that “[w]hile the District Court may not have been obligated to hold an evidentiary hearing, it could not just accept Transatlantic's statement of the damages . . .”. 109 F.3d at 111. And the cases the court cited there as cases where it might be appropriate to deny a hearing bear no resemblance to this case. See *Tamarin v. Adam Caterers, Inc.*, 13 F.3d 51, 54 (2d Cir.1993) (“not necessary for the district court to hold a hearing to fix damages after a default judgment had been entered where the court had 'relied upon detailed affidavits and documentary evidence supplemented by the District Judge's personal knowledge of the record gained during four years involvement with the litigation . . .’”); *Action S.A. v. Marc Rich & Co., Inc.*, 951 F.2d 504, 508 (2d Cir.1991) (where district judge was "inundated with affidavits, evidence, and oral presentations" a full evidentiary hearing was not necessary).

In view of the deficiencies cited by MSC, the Initial Remand Decision erred in denying MSC a hearing to contest Complainant's proof of reparations and in awarding Complainant reparations without any competent evidence at all. The Commission remanded the case for careful examination of the record to assess whether Complainant could present competent evidence showing the claimed reparations were the proximate result of MSC's deemed violation of the Shipping Act for allegedly failing to carry the contracted cargo. Instead, the Initial Remand Decision effectively rubber-stamped the reparations award in the face of MSC's legitimate objections.

CONCLUSION

The Commission should reverse the reparations award as unsupported by competent evidence. In the alternative, it should again remand with specific instructions that Complainant

must provide competent evident to support its reparations claim, and require a hearing to establish the proximate cause between the reparations damages alleged and violations of the Shipping Act, as required by 46 C.F.R. § 502.252, and to allow MSC to cross-examine Complainant's witnesses as to mitigation and as to the evidence of record contrary to Complainant's damages claims.

Respectfully submitted,

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March 11, 2024

CERTIFICATE OF SERVICE

I certify that, on March 11, 2024, a true and current copy of the foregoing Exceptions To Initial Decision On Remand And Memorandum And Brief In Support was served via electronic mail on the following:

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